

The next question is whether the company hedges the exposures it faces. This is because the company might not hedge every risk and take certain risks.

We go to Notes to Accounts to understand whether the company is hedging or using any derivatives contracts. We need to look at the numbers in derivatives and understand the hedging policy or the accounting policy that the company is using. We see derivative assets towards foreign exchange forward contracts.

13 Other Financial Assets - Current			
		As at 31 st March 2021	As at 31 st March 2020
Security Deposit			
Unsecured, Considered good		6.52	5.82
Considered doubtful		0.44	0.55
		6.96	6.37
Less: Allowance for doubtful balances		(0.44)	(0.55)
		6.52	5.82
Derivative assets towards Foreign Exchange Forward Contracts		0.09	1.70
Derivative Asset towards call option to buy subsidiary shares		-	0.24
Other Receivables*		0.73	0.47
TOTAL		7.34	8.23

*Includes Windmill income

We see that the company has derivative contracts when it comes to foreign exchange forward contracts. The numbers are, however, very low.

47 Financial Instruments			
(A) Capital Management			
The Company manages its capital to ensure that entities in the Company will be able to continue as going concerns while maximising the return to shareholders through the optimum utilisation of the equity balance. The capital structure of the Company consists of only equity of the Company. The Company is not subject to any externally imposed capital requirements.			
(B) Categories of financial instruments			
		₹ (in crores)	
		As at 31 st March 2021	As at 31 st March 2020
Financial Assets			
Measured at fair value through profit or loss (FVTPL)			
Investments in Mutual funds, Preference Shares, Debentures and Bonds		332.49	1,025.81
Derivative assets towards Foreign Exchange Forward Contracts		0.09	1.70
Derivative Asset towards call option to buy subsidiary shares		-	0.24
Measured at amortised cost			
Trade Receivables		999.09	806.63
Cash and Cash Equivalents		109.81	564.17
Other Bank balances		2.56	4.67
Loans		21.07	29.42
Other Financial Assets		22.40	19.41
Total Financial Assets		1,487.31	2,432.05
Financial Liabilities			
Measured at fair value through profit or loss (FVTPL)			
Derivative liabilities towards Foreign Exchange Forward Contracts		0.64	0.42
Derivative liability towards put option to buy subsidiary shares		-	34.83
Measured at amortised cost			
Borrowings		55.00	-
Trade Payables		793.82	701.11
Loans Liabilities		67.33	73.34
Other Financial Liabilities		913.43	564.42
Total Financial Liabilities		1,830.22	1,137.82

Derivative asset exchange is also very low, as seen under Financial Instruments. Thus, the company only has derivative assets and liabilities for foreign exchange. So far, we have not seen the company hedging its crude oil prices.